Indus Insights Recruitment Process

Preparation Material (Case)

2023-24

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Case studies

- A case study interview is typically a business problem taken from a real-life business situation
- It focuses on candidate's analytical skills, creativity and problem solving ability rather than specific business knowledge
- In a case interview, the interviewer is present to help you solve the case. Proceed as if you are having a conversation instead of an examination
- Examples:
  - Your client is an Indian sweets manufacturer who is facing a decline in profits. How will you proceed to help him out?
  - Your client manufactures hair products, who is thinking about entering the sunscreen market. Is this a good idea?
  - Your client has manufactured a breakthrough technology for mitigating frequent household repairs. How will you price the product?

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Things to keep in mind

- Take notes and read back the question to the interviewer to make sure that you understand everything correctly; Specifically verify the objective
- Take some time to think and structure your thoughts around the problem
- Ask every clarifying question that you have in mind
- There might be some information which the interviewer is expecting you to ask for. Ask the right questions and extract all the required information
- If possible, take some numbers to demonstrate that you think quantitatively and you are comfortable with the numbers
- Be confident and think out loud
- Be coachable and open to feedback
- Don’t forget to apply the business sense while solving a *business problem*
- Make sure to synthesize the solution at the end to create a sense of closure

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Sample case study: HairCo

Indus Insights has been retained by HairCo to assist in their business. HairCo is a prominent manufacturer of hair products such as hair oils. They feel that they can do much better in the industry. What would be the broad areas that you would focus on and how will you go about helping the client?

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Step 1: Understand the problem and break it down to form a logical structure

- What does the client mean by doing better?
  - The interviewer might ask what you think. There can be several scenarios:
    1. Have stronger growth,
    2. Capture larger market share,
    3. Be more profitable, etc.
- Assuming profitability is the objective here, the profitability framework can be drawn:
  - Profits = Revenue – Cost, where
    - Revenue = Volumes X Price of each product
    - Cost = Fixed (salaries, infrastructure, etc.) + Variable (production, commissions, etc.)
  - There can be 2 ways of increasing profits:
    1. Increase revenues
    2. Reduce costs

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Step 2: Ask right questions and extract all the requi information from the interviewer

- Some questions that can be asked:
  - How much market share does the company hold?
    - *This is to understand if increasing volumes is an option*
  - What all products do we manufacture?
    - *This is to understand if adding new products is an option*
  - How do we compare to the industry in terms of pricing? Is the industry price-sensitive?
    - *This is to understand if increasing pricing is an option*
  - Do we have information regarding fixed and variable costs?
    - *This is to understand if reducing costs is an option*
- Let's assume that the interviewer provides the following information:
  - The client is 3rd largest in terms of market share (by volumes)
  - Industry is not very price-sensitive. Client's major products are priced at average levels
  - There are no opportunities in cost savings, promotions, or adding new products

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Step 3: Eliminate options and find the focus area ba on the information

- The only way to increase profitability is by increasing revenues
- There can be 2 ways by which this can be achieved:
  - Drive up volumes
    1. Get more customers
    2. Expand within current customers *(not an option as new products can't be added)*
  - Drive up price per product
    1. Increase price of certain products
    2. Reduce discounts *(not an option as cost savings has already been discarded)*
- Let's assume that the client only wants to focus on price increase and the company is targeting a 2% increase in revenues relative to last year
  - Ask if the interviewer has any information about last year revenues
  - Price change will have a major secondary effect as well: change in volumes
  - Ask if there is any information regarding price change and its impact

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Step 4: Make the final recommendation

- Let's assume the interviewer provides the following information (based on market research):

Product	% Change in price to maintain same volumes	Current volumes ('000)	Current price per product (INR)
Hair oil	2	500	120
Hair shampoo	7	60	200
Hair gels	-2	24	150

- On the basis of above information, figure out whether you will recommend the price change to the client:
  - Current revenue: INR 756,00,000
  - Target revenue: INR 771,12,000
  - Revenue after price change: INR 776,40,000
    - Doesn't make sense to reduce the price of 'Hair gels'
- You should recommend the price change (oil+shampoo) to the client

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Bonus Points

- The candidate will earn bonus points by including some exclusive points in their structure such as, but not limited to:
  - Competitors will also react to the price change move
  - Market research might not be reflective of all geographies that the client caters
  - Price change could also affect existing costs (marketing, advertising, etc.)
  - This approach is not sustainable in long run

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